

ARQ KYC Funnel Analysis

Understanding Pass-Rate Decline | Jul–Sep 2023

52,075

KYC Attempts

86.1%

Overall Pass Rate

–3.3pp

Drop from Baseline

2

Markets Analysed

Executive Summary

Pass Rate Has Declined

Overall pass rate fell from 88.3% (Jul baseline) to as low as 79.8% in late August. September recovered partially to ~85%, but remains below baseline.

Mexico Underperforms Argentina

Mexico's rejection rate (17.4%) is more than double Argentina's (7.2%). Unsupported document types (509 cases) is a Mexico-specific issue.

Identity & Liveness Are Top Failure Modes

Face-to-document mismatch (18.1%) and liveness undetermined (13.4%) together account for nearly one-third of all rejections.

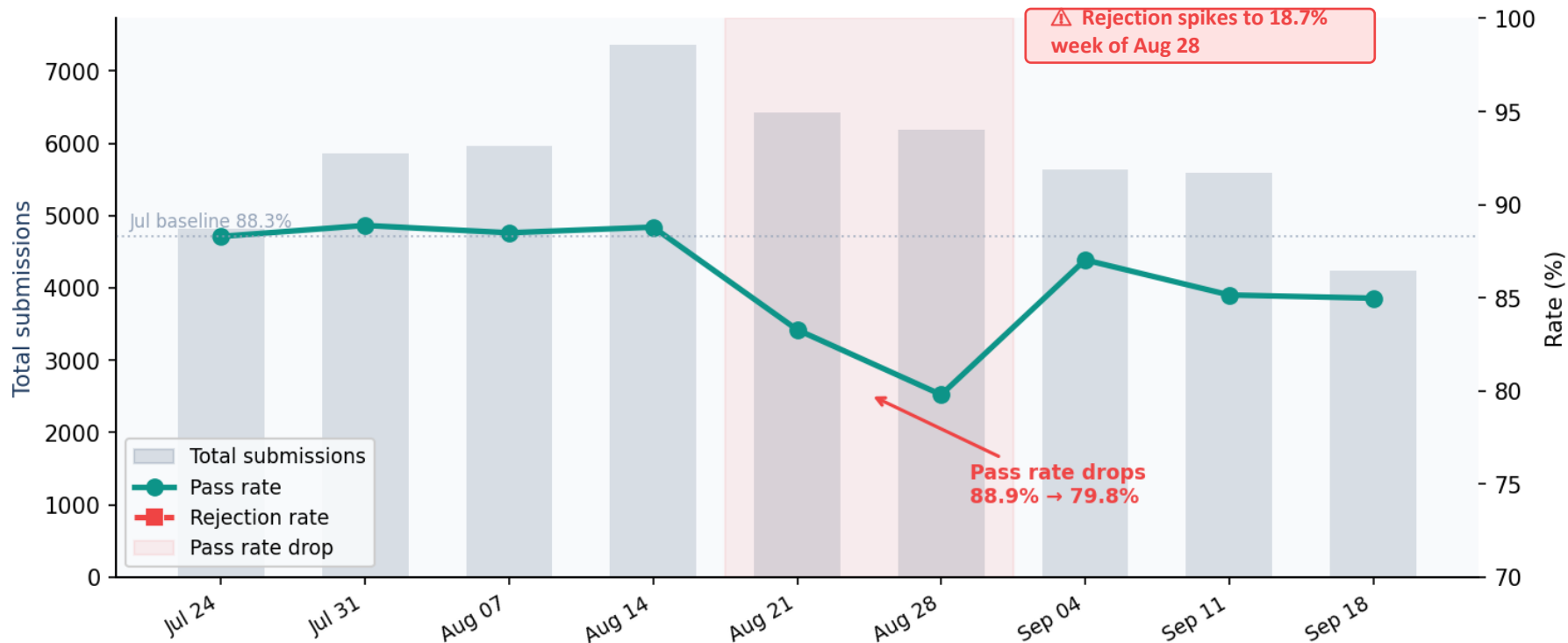
Fraud Signals Are Rising

695 manipulated document attempts detected, concentrated in Argentina. 225 users photographed a screen instead of presenting a real ID.

Pass Rate Trend: Jul–Sep 2023

Week-over-week pass & rejection rates vs total volume

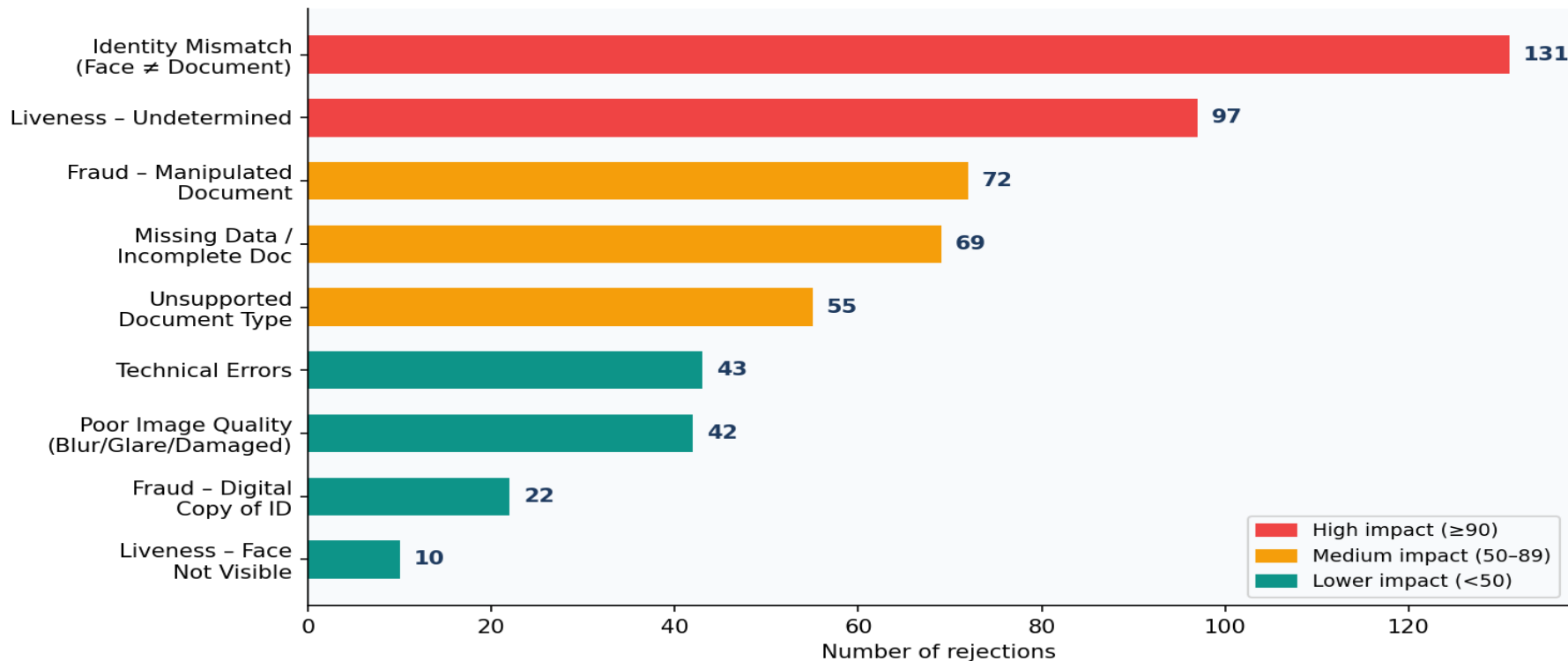
Weekly KYC Pass & Rejection Rate | Jul-Sep 2023



Root Cause Breakdown

Rejection reasons ranked by volume | Detailed sample, n = 722 rejected cases

Rejection Root Causes | Detailed KYC Sample (n = 722 rejected)

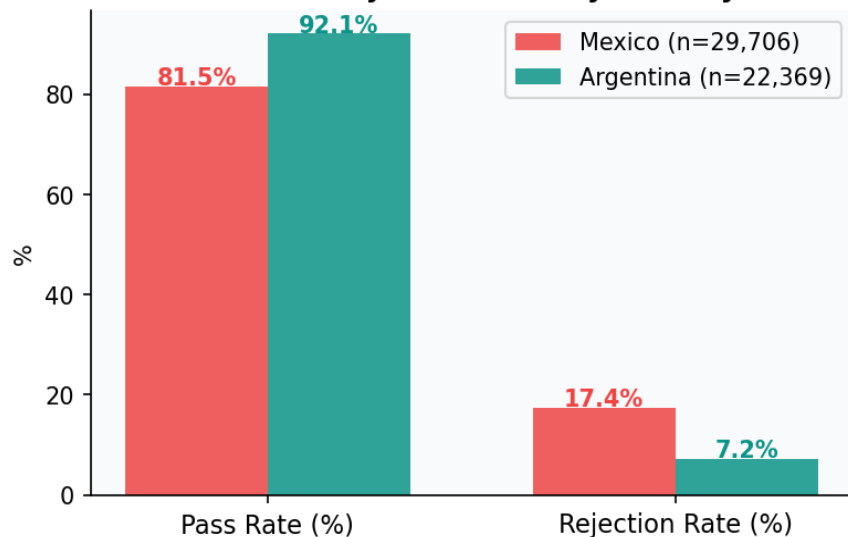


Country Performance: Mexico vs Argentina

Mexico has 2.4× the rejection rate of Argentina — driven by distinct root causes

Mexico vs Argentina KYC Performance

Pass vs Rejection Rate by Country



MX Mexico: 509 cases of unsupported document type — likely Mexican voter ID (IFE/INE) not covered by Jumio

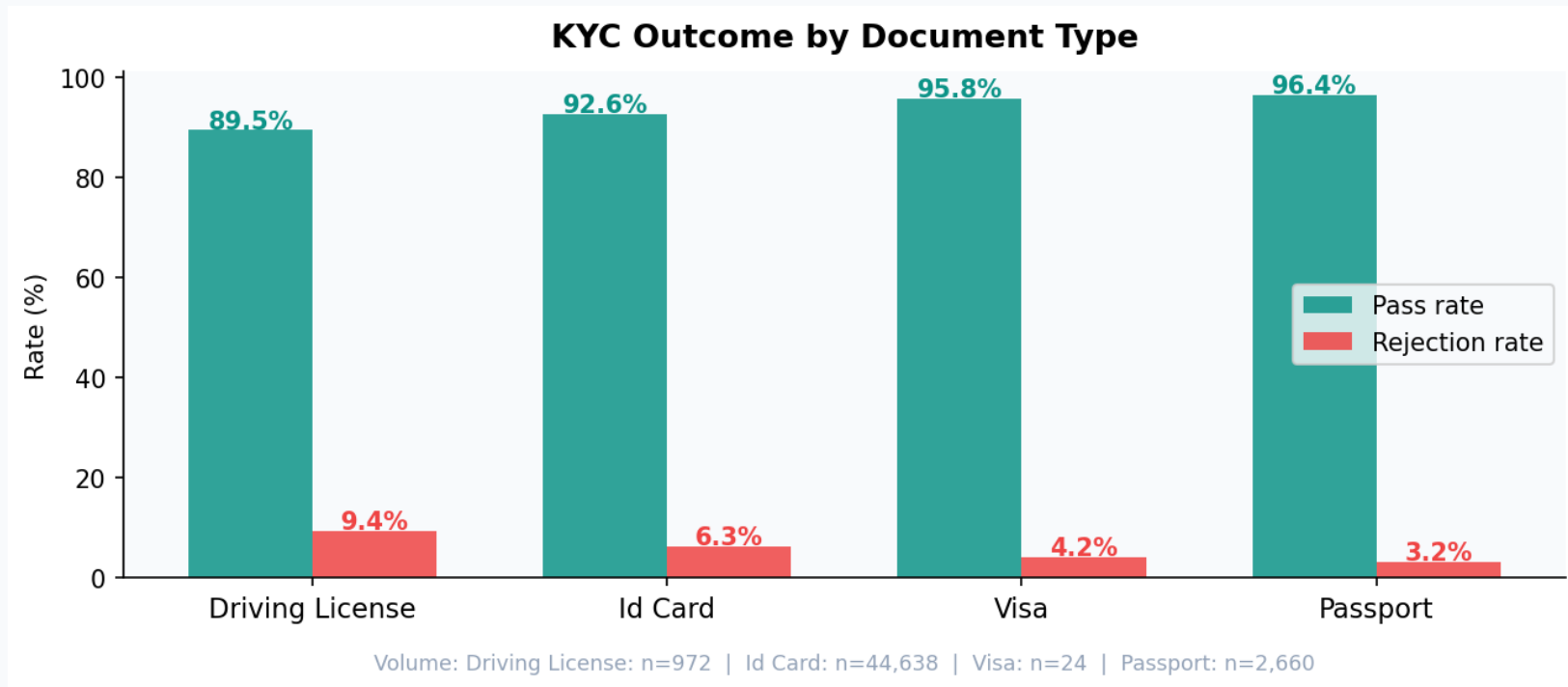
Rejection Reason Mix by Country
(% of each country's rejections)



AR Argentina: 509 manipulated documents detected — consider enhanced fraud review for ARG applicants

Document Type Performance

ID Card dominates volume (85.7%) but has a higher rejection rate than Passport or Visa



ID Card (n = 44,638)

85.7% of all KYC. Rejection rate of 6.3% — room to improve via better upload guidance for national & electoral IDs.

Driving Licence (n = 972)

Highest rejection rate at 9.4%. Low volume but needs attention — consider adding a separate upload journey.

Deep Dive: Identity & Liveness Failures



Identity Verification (Similarity Check)

- 131 cases of face-to-document mismatch detected
- All 131 are confirmed NO_MATCH — not borderline
- Could indicate users submitting someone else's ID
- Could also be caused by very low-quality selfies
- Mexico accounts for a higher share of these (vs ARG)



Liveness Verification

- 1,032 total liveness rejections across full dataset
- 965 (93.5%) are 'liveness_UNDETERMINED' — not outright fake
- Possible causes: low light, moving camera, partial face
- 53 cases of face not fully visible in frame
- 14 cases where user submitted ID photo as selfie
- Argentina liveness undetermined rate noticeably higher

Fraud & Abuse Signals

920+ fraud-related rejections detected | 1.8% of all KYC attempts

695

Manipulated Documents

ARG: 509 | MEX: 186

225

Digital Copies (Screen Photo)

MEX: 180 | ARG: 45

14

ID Used as Selfie

Across both markets

Manipulation Types Detected

Type	Count	% of Fraud
Manipulated Document (general)	537	58%
Manipulated Photo	61	6.6%
Manipulated Date of Birth	57	6.2%
Manipulated Document Number	19	2.1%
Manipulated Security Checks	13	1.4%
Manipulated Name / Expiry	8	0.9%

⚠ ARG Note

Argentina has 3× more document manipulation than Mexico despite having fewer total rejections.

This suggests a coordinated fraud pattern. Consider enhanced review or step-up verification for ARG high-risk cases.

Recommendations

01

Improve Liveness Guidance

HIGH

Add real-time camera coaching: face centering overlay, lighting warnings, and a retry prompt before final submission. Target: reduce 'liveness_UNDETERMINED' by ~40%.

02

Add Supported Document List (Mexico)

HIGH

Display accepted document types before upload. Explicitly flag that some older Mexican IDs (certain electoral card formats) are not accepted. Offer alternative doc options.

03

Improve Selfie Upload Instructions

MED

Show visual examples: correct vs incorrect selfie (partial face, low light, ID held up as selfie). Add selfie quality check before the photo is submitted to Jumio.

04

Add 'No Screen Photos' Warning for ID Upload

MED

225 users photographed their ID on a screen. Add a clear warning at the ID upload step: 'Do not photograph your ID on a screen.' Show a visual example.

05

Investigate Argentina Manipulation Spike

MED

Work with Jumio to understand the 509 manipulation cases in ARG. If a pattern exists, consider a rule-based step-up challenge (e.g. additional selfie verification) for flagged cases.

06

Monitor Technical Error Rate

LOW

407 technical errors in Mexico were followed by immediate rejection. Investigate whether these are Jumio-side or app-side and set an alert threshold for proactive monitoring.

Proposed Action Roadmap

Prioritised by impact × implementation effort

Sprint 1–2 (Quick Wins)

UX / Product

Camera coaching overlay
Liveness real-time guidance

Data / Docs

Add supported doc list
(show before upload)

Fraud / Risk

Alert on ARG manipulation
spike threshold

Tech / Ops

Monitor technical
error rate (alert)

Sprint 3–4 (Core Fixes)

Selfie quality pre-check
No-screen-photo warning

Expand Jumio doc support
for MEX electoral IDs

Step-up verification
for flagged ARG cases

Jumio API retry logic
for TECHNICAL_ERROR

Sprint 5+ (Advanced)

Intelligent retry flow
Context-aware help tips

Automated doc type
detection & suggestion

ML anomaly detection
for coordinated fraud

Full Jumio webhook
logging & dashboarding



Target: Returning pass rate to ≥88% baseline within 2 sprints through liveness and Mexico doc-type fixes alone

Next Steps

- 1 Share findings with Product & Tech leads — align on sprint priorities
- 2 Engage Jumio: confirm MEX electoral ID support timeline & request ARG fraud report
- 3 Design & A/B test camera coaching overlay (liveness) — target Week 2
- 4 Add 'supported documents' screen to onboarding flow — target Week 2
- 5 Set up weekly KYC pass-rate dashboard with alert at <85% threshold